

The complaint

Mr M is unhappy Bank of Scotland plc trading as Halifax (“Halifax”) hasn’t offered him a refund after he complained about being the victim of a scam.

What happened

Mr M found a company that offered cleaning services online. For the purposes of this decision, I will refer to this company as “C”.

Mr M arranged for C to complete an end of tenancy clean on his property and he paid £280, across a series of three payments, for the cleaning services he required. C then attended Mr M’s property on the date agreed for around six hours. However, Mr M wasn’t happy with the standard of the cleaning carried out. He said many things had been missed and he needed to pay someone else to complete the job to the correct standard. Mr M says he informed C about this but it failed to respond appropriately or offer him a refund.

Mr M says he later realised C had been posing as a limited company online, when the company had been dissolved on Companies House. Mr M said this meant C was trading illegally and he had been the victim of a scam. He reported what had happened to him to Halifax.

Halifax didn’t agree to offer Mr M a refund of the amount he’d paid C. It said it didn’t think he had been the victim of a scam at all. It thought his circumstances amounted to a private civil dispute with C about the quality of the service he’d received, rather than a scam that Halifax should become involved in now.

Mr M disagreed with what Halifax said and he brought his complaint to this service.

One of our investigators looked into Mr M’s complaint but they didn’t recommend it be upheld. The investigator agreed this was most likely a civil dispute between Mr M and C, rather than a scam. They acknowledged that C may well have given the impression that it was operating as a limited company but Mr M had received the service he’d paid for so there was no evidence that C intended to scam Mr M from the outset.

Mr M didn’t agree with the investigator’s findings. He said he had been deceived into paying funds to a company that had been dissolved. Mr M asked for his case to be reviewed by an ombudsman so the case has been passed to me to decide.

What I’ve decided – and why

I’ve considered all the available evidence and arguments to decide what’s fair and reasonable in the circumstances of this complaint.

In doing so, I'm very aware that I've summarised this complaint briefly, in less detail than has been provided, and in my own words. No discourtesy is intended by this. Instead, I've focussed on what I think is the heart of the matter here. If there's something I've not mentioned, it isn't because I've ignored it. I haven't. I'm satisfied I don't need to comment on every individual point or argument to be able to reach what I think is the right outcome. Our rules allow me to do this and this simply reflects the informal nature of our service as a free alternative to the courts.

Having thought very carefully about what Mr M has told us and Halifax's actions, I won't

be upholding Mr M's complaint. I do appreciate how disappointing this will be for him but I can't fairly ask Halifax to provide him with a refund of the amount he paid to C. There are a number of potential reasons why a dispute can exist between two contracting parties, other than a scam, and I think this is the case here.

The Faster Payments Scheme ("FPS") and the CHAPS reimbursement rules

The Payment Systems Regulator introduced the FPS rules on 7 October 2024 to reimburse consumers who are the victims of APP scams in certain circumstances. However, the rules only apply where the customer has been the victim of an APP scam, which the rules define as:

"Where a person uses a fraudulent or dishonest act or course of conduct to manipulate, deceive or persuade a Consumer into transferring funds from the Consumer's Relevant account to a Relevant account not controlled by the Consumer, where:

- The recipient is not who the Consumer intended to pay, or*
- The payment is not for the purpose the Consumer intended"*

Private civil disputes are not covered by the rules. The term private civil dispute is defined in the rules as:

"A dispute between a Consumer and payee which is a private matter between them for resolution in the civil courts, rather than involving criminal fraud or dishonesty."

The Payment Systems Regulator in its published policy statement PS23/3 gives further guidance:

"2.6 Civil disputes do not meet our definition of an APP fraud as the customer has not been deceived [...] The law protects consumer rights when purchasing goods and services, including through the Consumer Rights Act."

It provides an example of when this might apply:

"...such as where a customer has paid a legitimate supplier for goods or services but has not received them, they are defective in some way, or the customer is otherwise dissatisfied with the supplier."

In light of the above, I have gone on to think about whether I can fairly and reasonably say Mr M has been the victim of an APP scam or whether it was reasonable for Halifax to deem his circumstances a private civil dispute between him and C. Overall, I am satisfied it was fair and reasonable for Halifax to reach this conclusion. I'll explain why in more detail below.

Mr M's circumstances

I'm not persuaded Mr M has been deceived, persuaded or manipulated into making a payment that wasn't for the *purpose* he intended. For Mr M to have been the victim of an APP scam, he must have been deceived about the very purpose for which his payments had been procured. Here the purpose of the payments was to pay for domestic cleaning services and this is what Mr M received. He's told this service that C attended his property for around six hours. However, his relationship with C later broke down when Mr M complained about the standard of clean provided. And whilst this clearly would be frustrating for Mr M, it doesn't mean that he has now been the victim of an APP scam where C would've had no intention of providing the service Mr M had paid for from the outset. There would've been no obvious benefit to C in buying cleaning products and completing any work had it intended to defraud Mr M - it seems more likely that C would've "taken the money and run". And so, the fact that a number of hours of cleaning was carried out suggests to me that this wasn't a scam.

I accept that C may have given Mr M the impression that it was still operating as a limited company by using the term "*limited*" in its advertising on social media but I don't think it follows that this means an APP scam has occurred. Whilst this may be evidence of a badly run business or poor trading practices, Mr M has received the service he paid for. So, whilst I understand that Mr M is unhappy with the quality of the work carried out and he may well have a genuine dispute with C over this, his circumstances are primarily a civil and contractual dispute between two parties, for the quality of goods and services received and this is specifically excluded under the FPS rules. If Mr M believes C is acting in breach of law, in this case he has mentioned The Companies Act 2006, he will need to speak with Companies House or Trading Standards about this.

As Halifax didn't need to consider this as an APP scam, it didn't need to go on to contact the recipient account provider and it didn't need to intervene with the payments before they were processed either. Furthermore, even if Halifax had spoken with Mr M before the payments left his account, I don't think it would have made a difference as there wouldn't have been anything concerning about them that meant Halifax should've refused to make the payments on Mr M's behalf. I'm not persuaded Halifax could or ought to have known that Mr M would potentially end up suffering a loss here. I've seen no other reason to recommend that Halifax offer Mr M a refund of the amount he paid for the cleaning services he received. I'm satisfied that Halifax correctly considered Mr M's claim.

So, overall, whilst I acknowledge that C may have given the impression that they were operating as a limited company on social media, I can't ask Halifax to refund Mr M for this reason alone. I can only recommend Halifax offer Mr M a refund if I'm satisfied that he has been the victim of an APP scam, and I'm not persuaded that this is what has happened here. Mr M made the payments now in question here for the purposes of engaging domestic cleaning services and this is what he received.

So, whilst I sympathise with the position Mr M has found himself in, I don't think his circumstances meet the high legal bar for this to be an APP scam and because of this, I don't think it would be fair to hold Halifax responsible for the money he says he lost now.

My final decision

My final decision is that I do not uphold this complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr M to accept or reject my decision before 3 June 2026.

Emly Hanley Hayes
Ombudsman